

FinTech Mock Questions — Model Answers

Blockchain, cryptocurrency, and stablecoin answers are grounded in Imran Bashir, Mastering Blockchain, 4th ed. (Packt, 2023). General FinTech and Cambodia-specific points are supplemented from standard course material, since the textbook focuses specifically on blockchain.

Part A — Financial Technology (FinTech) Fundamentals

1. What is FinTech, and how has it changed the way individuals and businesses access and use financial services?

Financial Technology (FinTech) refers to the use of modern software, internet, and mobile technologies to deliver, improve, and automate financial services. It covers everything from mobile payments and digital wallets to online lending, robo-advisors, insurance technology ("insurtech"), and blockchain-based finance.

FinTech has changed daily financial life in three main ways. First, **access** has shifted from physical bank branches to the smartphone — a person can now open an account, transfer money, pay bills, or invest from anywhere with an internet connection. Second, **disintermediation**: many services that once required a bank, broker, or clearing house in the middle can now be done directly between parties, lowering cost and friction. Bashir makes this point at the architectural level — a blockchain "can be defined as a platform where peers can exchange value using transactions without the need for a centrally trusted arbitrator." Third, **personalisation and speed**: FinTech apps use data and automation to give instant decisions (e.g., instant loan approval) and tailored services that traditional banks were too slow to provide. For businesses, this means lower transaction costs, faster settlement, and the ability to reach customers who never had a bank account.

2. How have FinTech solutions improved the efficiency, speed, and accessibility of financial transactions compared to traditional banking?

Traditional banking relies on layered intermediaries — correspondent banks, clearing houses, and reconciliation processes — which add delay and cost. Bashir notes that blockchain "does not require a lengthy process of verification, reconciliation, and clearance because a single version of agreed-upon data is already available on a shared ledger," producing **faster dealings** and **cost-saving** by removing third parties. FinTech generalises this advantage:

- **Efficiency**: Automation replaces manual paperwork. A digital loan or payment is processed by software rather than staff, reducing overhead and error.
- **Speed**: Transactions that took days (cheque clearing, wire transfers) are now near-instant. Mobile payments settle in seconds; cross-border transfers that took 3–5 days can be done in

minutes.

- **Accessibility:** A bank branch has fixed hours and locations; a FinTech app is available 24/7 from a phone. This is the single largest change for people in rural areas or those who never qualified for a bank account.

3. Discuss the role of mobile applications and internet technologies in the growth and adoption of FinTech in developing countries such as Cambodia.

In developing countries, mobile phones spread far faster and more widely than bank branches. Cambodia has very high mobile-phone and internet penetration but historically low traditional-bank coverage, so the smartphone became the primary gateway to financial services — a "mobile-first" or even "mobile-only" market.

Mobile apps lower the cost of serving a customer to almost zero, which makes it economical to reach low-income and rural users that a brick-and-mortar bank could never profitably serve. Internet technologies (cloud computing, APIs, QR codes, and real-time payment rails) let providers launch services quickly and connect to one another. In Cambodia specifically, services such as **Wing, TrueMoney, ABA Mobile, ACLEDA Mobile, and Pi Pay**, together with the **Bakong** system run by the National Bank of Cambodia and the national **KHQR** code standard, illustrate how mobile and internet technology has driven rapid FinTech adoption. (Bakong is notable because it is built on distributed-ledger / blockchain technology of the kind Bashir's textbook describes.)

4. In what ways has FinTech contributed to financial inclusion, especially for rural or underserved areas?

Financial inclusion means giving people who were previously "unbanked" or "underbanked" access to useful, affordable financial services. FinTech advances this in several ways:

- **Lower barriers to entry:** Opening a digital wallet usually needs only a phone number and basic ID, not a minimum deposit or a branch visit.
- **Reach:** Mobile networks cover areas where banks have no branches, so a farmer in a remote province can receive payments, save, and transfer money.
- **Affordability:** Digital transactions cost far less than cash handling or travelling to a distant bank.
- **Building credit histories:** Transaction and payment data let lenders assess people with no formal credit record, opening access to small loans.
- **Agent networks:** Cash-in/cash-out agents (shops acting on behalf of providers) bridge the gap between cash and digital money in rural areas.

This connects to Bashir's broader theme that decentralised and shared systems reduce the need for costly intermediaries, which is exactly what makes serving low-value, rural customers economically viable.

5. Provide detailed examples of commonly used FinTech services in Cambodia and explain how they benefit users and providers.

Common FinTech services in Cambodia include:

- **Mobile money / e-wallets (Wing, TrueMoney, ABA Mobile, ACLEDA Mobile):** Let users store money, transfer to others, top up phone credit, and pay merchants. *User benefit:* convenience and no need for a full bank account. *Provider benefit:* low-cost customer acquisition and fee/float income.
- **QR-code payments (KHQR standard):** A single national QR standard lets a customer of any participating bank or wallet scan one code to pay any merchant. *User benefit:* fast, cashless payment with no card machine. *Provider/merchant benefit:* cheaper than card terminals and no cash-handling risk.
- **Bakong (National Bank of Cambodia):** A central, interoperable, blockchain-based payment backbone that lets different banks and wallets transfer to each other instantly. *User benefit:* send money across institutions for free or low cost. *Provider benefit:* shared infrastructure instead of building their own.
- **Digital lending and savings apps:** Provide small loans and savings products via phone. *User benefit:* fast credit access; *Provider benefit:* data-driven risk assessment and scale.

These benefit users through convenience, speed, and inclusion, and benefit providers through lower operating costs, transaction fees, and access to a much larger market.

6. Analyse the impact of FinTech on traditional banks — competitor, collaborator, or both?

FinTech is **both** a competitor and a collaborator, and increasingly the latter.

- **As a competitor:** FinTech firms attack the most profitable, customer-facing parts of banking — payments, transfers, lending — often with cheaper, faster, more user-friendly services. They can erode bank fee income and customer relationships.
- **As a collaborator:** Banks have what FinTechs often lack — licences, capital, regulatory experience, and large customer bases — while FinTechs have technology and agility. The result is partnership: banks build their own apps, buy or invest in FinTech startups, and connect through shared rails. In Cambodia, Bakong is a clear example of *collaboration*, with the central bank providing shared infrastructure that banks and wallets all plug into.

Bashir frames the underlying technology (blockchain) similarly — it can disintermediate banks, yet he also notes a likely "collaborative future where connectivity between CeFi [centralised finance] and DeFi exists." The realistic outcome is **coexistence and convergence**: the line between "bank" and "FinTech" blurs.

7. What are the main challenges or limitations FinTech companies face in emerging markets?

Key challenges include:

- **Regulation and licensing:** Rules are often unclear or still developing, and FinTechs must satisfy anti-money-laundering (AML) and know-your-customer (KYC) requirements. Bashir highlights that regulation is one of blockchain's hardest problems and that authorities impose AML and Counter-Financing-of-Terrorism (CFT) rules on financial platforms.
 - **Trust and adoption:** Users accustomed to cash may distrust digital money or fear fraud.
 - **Infrastructure gaps:** Patchy internet, unreliable electricity, and low smartphone ownership in rural areas limit reach.
 - **Cybersecurity and fraud:** Digital systems are targets for hacking, scams, and identity theft.
 - **Financial and digital literacy:** Many users lack the skills to use apps safely.
 - **Interoperability:** Bashir lists interoperability — between systems and between platforms — as a major limitation; fragmented systems make it hard for services to work together.
 - **Capital and scale:** Startups need funding and a large user base to become profitable.
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Part B — Digital Payment Systems

8. What are digital payment systems, and how do they function in facilitating transactions between consumers and businesses?

A digital payment system is an electronic method of transferring value between a payer and a payee without using physical cash. It functions through a chain of participants: the **consumer** (with a wallet, card, or bank account), the **merchant**, the consumer's and merchant's financial institutions, and a **payment network or switch** that routes and settles the transaction.

The flow is: the consumer authorises a payment (by card, app, or QR scan); the request is sent to the payment network; the system verifies funds and authenticates the user; the network instructs the banks to move the money; and the merchant is credited while the consumer's balance is debited. Behind the scenes, **clearing** (matching transactions) and **settlement** (actually moving funds) complete the process. In a blockchain-based system, Bashir explains, this settlement happens through a shared ledger updated by consensus rather than through a central clearing house, which is what makes it fast and intermediary-free.

9. Explain how mobile banking apps and QR-code payments operate to make transactions faster and more convenient.

Mobile banking apps connect a user's phone to their bank or wallet account over the internet through secure APIs. The user logs in (often with biometrics or a PIN), and the app lets them check balances, transfer money, and pay bills in real time. The convenience comes from removing the need to visit a branch or ATM.

QR-code payments encode payment information (the merchant's account identifier and sometimes the amount) into a Quick Response code. The customer opens their wallet app, scans the merchant's QR code (or shows their own to be scanned), confirms the amount, and authorises payment. The transaction is routed and settled instantly through the payment network. QR is popular in markets like Cambodia because it needs no expensive card terminal — just a printed code — making it cheap for small merchants and instant for customers. Cambodia's **KHQR** is a single interoperable standard so one code works across all participating banks and wallets.

10. Compare and contrast digital payments with cash-based transactions in terms of speed, security, and convenience.

Dimension	Digital Payments	Cash
Speed	Near-instant, even at a distance or across borders	Instant in person, but slow/impossible remotely
Security	No physical theft risk; protected by encryption and authentication, but exposed to fraud, hacking, and scams	Vulnerable to physical theft and loss; no recovery if lost
Convenience	Pay anytime, anywhere; no change needed; full transaction record	Universally accepted, no device or signal needed; but bulky and hard to track
Traceability	Fully recorded — good for accounting, but reduces privacy	Anonymous — better privacy, but enables tax evasion and crime
Dependency	Needs power, internet, and a device	Works with nothing but the note itself

In short, digital payments win on speed, record-keeping, and remote convenience, while cash retains advantages in universal acceptance, privacy, and resilience when technology fails.

11. How do digital payment systems improve operational efficiency and customer experience for small and large businesses?

- **Faster settlement and cash flow:** Funds arrive quickly rather than after days of clearing, improving liquidity.
- **Lower handling costs:** No counting, storing, transporting, or securing physical cash; fewer errors.
- **Automatic record-keeping:** Every transaction is logged, simplifying accounting, tax, and inventory management.

- **Better customer experience:** Faster checkout, no need for exact change, support for loyalty programs, and the ability to sell online or accept remote payment.
- **Scalability:** Large businesses can process huge transaction volumes automatically; small businesses can accept payment with just a QR code and a phone.
- **Data insights:** Transaction data helps businesses understand customers and tailor offers.

Bashir's point that a shared, agreed ledger removes "verification, reconciliation, and clearance" overhead applies here: the less manual reconciliation a business must do, the more efficient it becomes.

12. Discuss the importance of security measures (encryption, authentication) in maintaining trust in digital payment platforms.

Trust is the foundation of any payment system — users must believe their money and data are safe. Two security pillars provide this:

- **Encryption** scrambles data so that even if it is intercepted, it cannot be read. Bashir's "Cryptography layer" makes the same point for blockchain: cryptographic protocols provide *data integrity, non-repudiation, and data-origin authentication*, ensuring transactions cannot be secretly altered or forged.
- **Authentication** verifies that the person initiating a transaction really is the account holder — via passwords, PINs, biometrics (fingerprint/face), or two-factor/one-time codes.

Together these provide **confidentiality** (only authorised parties see the data), **integrity** (the transaction is not tampered with), and **non-repudiation** (a user cannot deny a transaction they signed — exactly the role of digital signatures in blockchain). Without them, fraud and theft would destroy user confidence and the platform would fail. This is why regulators also require strong security alongside AML/KYC controls.

13. What are the potential risks and disadvantages of relying heavily on digital payment systems?

- **Cybersecurity threats:** Hacking, data breaches, phishing, and account takeover.
- **System failures and outages:** If the network, power, or internet goes down, payments stop entirely — a single point of failure that cash does not have.
- **Fraud and scams:** Social-engineering scams trick users into authorising payments; reversals can be hard.
- **Loss of privacy:** Every transaction is tracked, creating surveillance and data-misuse concerns.
- **Financial exclusion of some groups:** People without smartphones, internet, or digital skills (often the elderly or very poor) can be left behind in a fully cashless economy.
- **Over-reliance and lock-in:** Dependence on a few providers concentrates risk.

- **Errors and irreversibility:** A payment sent to the wrong recipient — especially on irreversible systems like blockchain — may be impossible to recover.

14. Provide real-life examples of how digital payment technologies are used in Cambodia.

- **Shopping:** Customers in markets, cafés, and shops scan a **KHQR** code with **ABA Mobile**, **Wing**, or **TrueMoney** to pay merchants directly, with no cash or card terminal.
- **Bill payments:** Utility bills (electricity, water), phone top-ups, and school fees are paid in-app through wallets and bank apps.
- **Money transfers:** Workers send money to family in other provinces instantly using **Wing** or via **Bakong**, which lets users of different banks and wallets transfer to each other through one interoperable system.
- **Salary and merchant settlement:** Businesses pay staff and receive customer payments digitally, reducing cash handling.

The **Bakong** system is the standout national example — a central-bank-operated, blockchain-based backbone that interconnects the country's financial institutions, illustrating exactly the kind of distributed-ledger payment infrastructure Bashir's textbook describes.

15. Explain the concept of a digital wallet and describe how it stores, manages, and processes financial transactions.

A digital wallet is a software application that securely stores a user's payment credentials and enables electronic transactions. In Bashir's blockchain context, "a wallet is a generic program that can store private keys and, based on the addresses stored within it, can compute the existing balance ... by querying the blockchain." A consumer digital wallet works on the same principle but more broadly:

- **Stores:** It holds payment information — linked bank accounts, card details, or (in crypto wallets) the cryptographic **private keys** that control the user's funds. Importantly, a crypto wallet does not "hold" coins like a physical wallet holds cash; it holds the *keys* that authorise spending of balances recorded on the ledger.
- **Manages:** It tracks balances, transaction history, and linked accounts, and secures access with PINs or biometrics.
- **Processes:** When the user makes a payment, the wallet authenticates them, signs/authorises the transaction (with a digital signature in the case of crypto), and sends it to the payment network or blockchain for verification and settlement.

Examples range from mobile-money wallets (Wing, ABA) to crypto wallets (MetaMask, which Bashir cites as the developer tool of choice).

Part C — Cryptocurrency and Blockchain

16. What is cryptocurrency, and how does it differ from traditional money issued by governments and central banks?

A cryptocurrency is a **digital currency** secured by cryptography and (typically) issued and transferred on a decentralised blockchain rather than by any central authority. Bitcoin, introduced in Satoshi Nakamoto's 2008 paper *Bitcoin: A Peer-to-Peer Electronic Cash System*, was, in Bashir's words, "the very first fully decentralized digital currency."

It differs from traditional ("fiat") money in several key ways:

- **Issuer:** Fiat money is issued and controlled by a government central bank; cryptocurrency is created by a protocol (e.g., through mining) with no central issuer.
- **Trust model:** Fiat relies on trust in the state and banks; cryptocurrency relies on cryptography and consensus among peers — "no central controller in the network."
- **Supply:** Many cryptocurrencies have a fixed or algorithmically capped supply (Bitcoin's 21 million), while fiat supply is managed by monetary policy.
- **Form:** Crypto exists only as entries on a distributed ledger; fiat exists as physical notes/coins and bank records.
- **Volatility:** Bashir notes Bitcoin is "remarkably secure and valuable ... despite being highly volatile," whereas fiat is comparatively stable.
- **Reversibility/regulation:** Crypto transactions are generally irreversible and harder to regulate; fiat transactions can be reversed and are tightly regulated.

A middle ground is **Central Bank Digital Currency (CBDC)**, which Bashir describes as "a centralized and regulated form of digital currency issued by a central bank" — digital, but still state-controlled.

17. Describe the underlying concept of blockchain technology and explain how it supports the operation and security of cryptocurrencies.

Bashir gives two standard definitions:

- **Layman's definition:** "Blockchain is an ever-growing, secure, shared recordkeeping system in which each user of the data holds a copy of the records, which can only be updated if a majority of parties involved in a transaction agree."
- **Technical definition:** "Blockchain is a peer-to-peer, distributed ledger that is cryptographically secure, append-only, immutable (extremely hard to change), and updateable only via consensus among peers."

The key properties are: **peer-to-peer** (no central controller; nodes deal directly), **distributed ledger** (every node holds a full copy), **cryptographically secure** (protected against tampering),

append-only/immutable (data can only be added in time order and is practically impossible to alter), and **updatable only via consensus** (changes require agreement among the majority of nodes).

Structurally, transactions are bundled into **blocks**, and each block contains the hash of the previous block, chaining them together so that altering any past block would break every block after it.

This directly supports cryptocurrency:

- **Records ownership** without a bank — balances and transfers live on the shared ledger.
- **Prevents double-spending** — once a coin is spent, the immutable, consensus-validated ledger reflects it everywhere.
- **Secures transactions** with digital signatures (only the private-key holder can spend) and cryptographic hashing.
- **Removes the need for a trusted third party** — value moves directly between peers, validated by consensus.

18. Discuss how cryptocurrencies can be used as an alternative for sending money, especially for cross-border remittances.

Traditional cross-border transfers pass through chains of correspondent banks, take several days, and charge high fees. Cryptocurrencies offer an alternative because, as Bashir notes, blockchain "can be used to facilitate cross-border and local payments in a decentralized and secure manner," peer-to-peer and "without third-party involvement, such as by a bank."

The advantages for remittances are:

- **Speed:** Transfers settle in minutes rather than days.
- **Lower cost:** Removing correspondent banks and clearing houses cuts fees — Bashir's "cost-saving" benefit.
- **24/7 availability and global reach:** No banking-hours or geographic limits.
- **Access for the unbanked:** A recipient needs only a wallet, not a bank account.

The main drawbacks are price **volatility** (the value can change between sending and receiving), regulatory uncertainty, the need for both parties to access an exchange to convert to/from local currency, and the irreversibility of mistaken transfers. **Stablecoins** (Q21) are often used to solve the volatility problem in remittances.

19. Explain how workers abroad could use cryptocurrency to send money home to families in Cambodia more efficiently.

A Cambodian working abroad typically uses a money-transfer operator that is slow and charges high fees. Using cryptocurrency, the process could be:

1. The worker buys cryptocurrency (often a **stablecoin** pegged to the US dollar to avoid volatility) on an exchange using their local wages.
2. They send it directly to the family member's wallet address — a peer-to-peer transfer that settles in minutes, at low cost, at any time of day.
3. The family in Cambodia converts it to riel or US dollars through a local exchange or wallet, or spends it directly where accepted.

The efficiency gains are lower fees, faster delivery, and no need for the recipient to have a traditional bank account — consistent with Bashir's points on decentralisation, cost-saving, and disintermediation. Using a stablecoin removes the risk that the amount loses value before the family receives it. The practical limits are access to a trustworthy exchange, conversion costs, regulatory rules in both countries, and digital literacy.

20. Compare the advantages and disadvantages of cryptocurrency versus traditional banking for international payments.

Advantages of cryptocurrency:

- Faster settlement (minutes vs. days).
- Lower fees (no correspondent-bank chain).
- 24/7, borderless availability.
- Accessible to the unbanked.
- Peer-to-peer, no central gatekeeper (Bashir's decentralisation/disintermediation).

Disadvantages of cryptocurrency:

- **Volatility** — value can swing sharply (mitigated by stablecoins).
- **Regulatory uncertainty** and possible legal restrictions.
- **Irreversibility** — mistakes or fraud are hard to undo.
- **Complexity** — managing private keys and exchanges is harder than banking; losing keys means losing funds.
- **Limited acceptance** — not all recipients can convert or use it.

Advantages of traditional banking:

- Stable value, strong regulation, consumer protection, and reversibility/dispute resolution.
- Wide acceptance and familiarity.

Disadvantages of traditional banking:

- Slow, costly cross-border transfers; banking hours; and exclusion of the unbanked.

The realistic conclusion mirrors Bashir's CeFi/DeFi view: the two are likely to **coexist**, with crypto handling fast, cheap transfers and banks providing stability and regulatory assurance.

21. What are stablecoins, and how do they reduce the volatility associated with cryptocurrencies like Bitcoin?

A **stablecoin** is a cryptocurrency designed to hold a steady value by being pegged to a stable reference asset — usually a fiat currency such as the US dollar, or sometimes commodities or other assets. Bashir explains that "stablecoins in the DeFi world are based on/pegged to the traditional financial world's assets and fiat currency," and their reserves "could be kept in the CeFi traditional financial world."

They reduce volatility by **backing each coin with reserves**: for every stablecoin issued, the issuer holds (ideally) an equivalent amount of the reference asset, so the coin can always be redeemed 1-for-1. This anchors the price and removes the wild swings seen in Bitcoin, making stablecoins suitable for payments, remittances, and as a stable unit of account within DeFi. Common examples Bashir cites include **USDC, DAI, and USDT**.

However, Bashir is clear that stablecoins carry their own risks: "liquidity risk, solvency risk, and regulatory risk." Crucially, "if the demand for the stablecoin increases, there may not be enough reserve assets to meet the demand, leading to a drop in its value" — i.e., the peg can break if reserves are inadequate or not genuinely backed.

Part D — Benefits, Risks, Regulation, and the Future

22. Discuss the major advantages of digital financial services (convenience, speed, accessibility) in modern economies.

- **Convenience:** Services are available 24/7 from a smartphone — no branch visits, queues, or banking hours. Bills, transfers, and purchases happen in a few taps.
- **Speed:** Payments and settlements are near-instant, even across borders, improving cash flow for businesses and immediacy for consumers. Bashir's "faster dealings" benefit — removing reconciliation and clearance delay — applies directly.
- **Accessibility / inclusion:** Anyone with a phone can access financial services, bringing the unbanked and rural populations into the formal economy.
- **Cost-saving:** Lower fees and overheads (Bashir's "cost-saving" through removing intermediaries) benefit both users and providers.
- **Transparency and record-keeping:** Automatic, tamper-resistant records aid accounting, audit, and trust — Bashir's "transparency and trust" and "immutability" benefits.
- **Economic growth:** Easier payments and credit stimulate commerce, entrepreneurship, and productivity across the economy.

23. Identify and explain the risks associated with financial technologies (cybersecurity, fraud, system failures).

- **Cybersecurity threats:** Hacking, malware, data breaches, and phishing target the digital systems that hold money and personal data. Bashir devotes attention to blockchain security and notes attacks such as the "sandwich attack" and exploits in DeFi, showing even advanced systems are targeted.
- **Fraud:** Scams, social engineering, identity theft, and fake apps trick users into losing money; irreversible transactions make recovery hard.
- **System failures:** Outages of internet, power, or platform infrastructure can halt payments — a single point of failure absent in cash.
- **Operational and key-management risk:** In crypto, losing a private key means permanently losing funds.
- **Regulatory and compliance risk:** Weak AML/KYC controls invite money laundering and legal penalties.
- **Stablecoin and market risk:** As Bashir notes, liquidity, solvency, and regulatory risks can break a stablecoin's peg.
- **Privacy risk:** Concentrated transaction data can be misused or leaked.

Mitigation relies on strong encryption, authentication, regulation, user education, and system redundancy.

24. Analyse the legal and regulatory challenges governments face with new financial technologies such as cryptocurrencies.

Bashir identifies regulation as one of the hardest problems for blockchain: "due to its decentralized nature, regulation is almost impossible on blockchain," and the absence of a regulatory authority "is an inhibiting factor for many consumers," who lose the assurance that "if something goes wrong they can hold someone accountable."

The main challenges are:

- **Decentralisation and jurisdiction:** With no central issuer and a global, borderless network, it is unclear which country's laws apply or who is accountable.
- **Anti-money-laundering and terrorism financing:** Pseudonymous transactions can be misused. Bashir notes governments respond by legalising and supervising exchanges — e.g., under the US Bank Secrecy Act — requiring **AML, Counter-Financing of Terrorism (CFT)**, and strict record-keeping and reporting.
- **Consumer protection:** Volatility, scams, and irreversible transactions expose consumers, with no deposit insurance or dispute mechanism.
- **Taxation:** Tracking and taxing crypto gains is difficult.

- **Financial stability:** Large, unbacked stablecoins or crypto markets could pose systemic risk.
- **Balancing innovation and control:** Over-regulation can stifle beneficial innovation; under-regulation invites abuse.

Governments are responding with exchange licensing, AML/KYC rules, stablecoin regulation, and by issuing their own CBDCs — a "centralized and regulated form of digital currency" that captures digital-currency benefits while keeping state oversight.

25. Looking ahead, what future trends do you expect in FinTech, and how might they transform financial services in Cambodia over the next decade?

Expected trends, drawing on Bashir's outlook and current direction of travel:

- **Mainstreaming of blockchain applications:** Bashir notes that DeFi, NFTs, and tokenisation are already used by millions and expects DeFi to "stabilize into a mature mainstream technology" within a few years, with more focus on regulation and standardisation. Expect tokenisation of assets and smart-contract-based services to spread.
- **Central Bank Digital Currencies (CBDCs):** Cambodia is already a pioneer here with **Bakong**, a blockchain-based system run by the National Bank of Cambodia. Expect deeper adoption, full interoperability, and possibly cross-border CBDC links for cheaper remittances.
- **Greater interoperability and scalability:** Bashir highlights layer-2 and multi-chain solutions and zero-knowledge proofs as the response to blockchain's scalability and privacy limits — these will make digital payments faster, cheaper, and more private.
- **AI-driven and data-driven services:** Smarter credit scoring, fraud detection, and personalised financial products.
- **Deeper financial inclusion:** Continued growth of mobile money and QR payments will bring more rural and unbanked Cambodians into the formal economy.
- **Stronger regulation and security:** As Bashir stresses, "further maturity is required, especially from a regulation and security perspective." Cambodia will likely develop clearer FinTech, crypto, and consumer-protection rules.
- **CeFi-DeFi convergence:** Traditional banks and FinTech/blockchain services will increasingly connect rather than compete in isolation.

For Cambodia specifically, the next decade will likely see a largely cashless, mobile-first economy built on interoperable rails like Bakong and KHQR, with cheaper cross-border remittances, wider credit access, and growing — but still maturing — regulation around cryptocurrencies and digital assets.